

constructive trust.

(4) Unjust Enrichment

As with the second cause of action, Defendant argues that the third cause of action fails because unjust enrichment is a remedy, not a standalone claim.

There is a split of authority on whether unjust enrichment is a cause of action. (See, e.g., *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793 [no cause of action for unjust enrichment]; *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387 [same]; *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370 [same]; *Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238 [cause of action exists]; *FDIC v. Dintino* (2008) 167 Cal.App.4th 333, 346-347 [same]; *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1132 [same].)

Where it has been held to be a cause of action, the elements of a cause of action for unjust enrichment are simply stated as "receipt of a benefit and unjust retention of the benefit at the expense of another." (*Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.*, *supra*, 29 Cal.App.5th at 238.)

Plaintiff alleges that defendant benefitted from plaintiff's payments and improvements without placing plaintiff on title to the property, and that restitution is necessary to prevent inequitable retention of benefits. Since the caselaw recognizes unjust enrichment as a standalone claim, the court will allow Plaintiff to maintain her second cause of action.

(5) Declaratory Relief

A declaratory relief action under CCP section 1060 requires two elements: (1) a proper subject for declaratory relief; and (2) an "actual controversy involving justiciable questions relating to the right or obligations of a party." (*Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546.)

Plaintiff alleges as follows in the fourth cause of action:

59. An actual controversy has arisen and now exists between Plaintiff XUE FEN XIE and Defendants and each of them, concerning their respective rights and duties to Plaintiff, and the real properties that Plaintiff expended time, money and labor for its construction services in which Defendants have benefited.

60. Plaintiff seeks a judicial determination as to Defendant's rights to reimbursement, rental benefits and profits generated from these real properties as part of their modified agreement.

61. A judicial determination of the rights and responsibilities of the parties over the real properties in question is necessary and appropriate at this time that the uncertainty over the issues of reimbursement, rental benefits, ownership interest, and profits generated from these real properties.

Defendant argues that this claim is derivative of the breach of contract cause of action and is therefore unnecessary and duplicative. Sufficient facts have been pleaded to show an actual controversy between the parties. That a cause of action is duplicative or redundant is not a ground on which a demurrer must be sustained. (See *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890.)

6. 9:00 AM CASE NUMBER: C24-02017

CASE NAME: RAINY FISHER VS. RLW PROPERTIES, LLC

***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT**

FILED BY: FISHER, RAINY DAY

TENTATIVE RULING:

Plaintiff Rainey Day Fisher moves for preliminary approval of her class action and PAGA settlement with defendant RLW Properties, LLC.

A. Background and Settlement Terms

The original complaint was filed by Plaintiff on March 13, 2024, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. A First Amended Complaint adding PAGA claims (based on a notice to the LWDA given March 13, 2024), was filed on December 4, 2024. It remains the operative complaint.

The settlement would create a gross settlement fund of \$410,000, which would be paid in 2 equal installments. The class representative payment to plaintiff would be \$10,000. Attorney's fees would be \$136,666.67 (one-third of the settlement). Litigation costs would not exceed \$28,000. The settlement administrator's costs would be up to \$17,200. PAGA penalties would be \$10,000, resulting in a payment of \$7,500 to the LWDA and \$2,500 to the aggrieved employees. The net amount paid directly to the class members would be about \$208,133.33. The fund is non-reversionary. Based on the estimated class size of 518, the average net payment for each class member is approximately \$402.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendant during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and the funds will be provided to the State Controller's Unclaimed Property Fund.

The settlement contains release language covering all "all claims arising out of or related to the allegations set forth in the Operative Complaint[.]" (Settlement, Par. 66.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken, and a data expert was retained for mediation. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include “stacking” of violations, the law may only allow application of the “initial violation” penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.”])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. **Attorney fees**

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to prepare a lodestar fee estimate for the motion for final approval.

The reasonableness of litigation costs and the settlement administrator’s fees will be considered at final approval.

Similarly, the requested representative payment of \$10,000 for plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. **Conclusion**

The Court finds that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval, and grants the motion.

If approval is ultimately granted, counsel will be directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

7. **9:00 AM CASE NUMBER: C24-02437**

CASE NAME: OMAR HASHIMI VS. JAMILA KOSHANI

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: KOSHANI, JAMILA

TENTATIVE RULING:

Before the Court is a demurrer by defendants Jamila Koshani and Cyrus Eghbalian to the complaint. For the reasons set forth, the Court rules as follows: (a) special demurrer to complaint in its entirety for uncertainty – **sustained, with leave to amend**; and (b) general demurrers to the second through five causes of action – **sustained, with leave to amend**. Plaintiff shall file any amended complaint **by December 5, 2025**.

Background